Poland's economy slowed in the third quarter, while core inflation fell below 3% YoY. There is still little evidence of second-round effects. The MPC has nevertheless turned more hawkish with staff projecting high inflation next year, supporting our base case of 50bp of rate hikes in early 2027




Rafal Benecki and Adam Antoniak

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GDP growth slowed in 3Q26, similar to other economies in the region

According to the preliminary estimate, GDP growth slowed to 3.5% YoY in 3Q26 from 4.1% YoY in 2Q26. Seasonally adjusted data point to a slowdown in growth to 0.8% QoQ from 1.1% QoQ in the previous quarter. We will learn the breakdown of GDP growth for 3Q26 on 30 November, but the available data suggests that growth in industrial gross value added slowed, while construction activity declined in annual terms. Continued solid growth in services was not enough to offset weaker performance in these areas.

On the expenditure side, the main reason for slower growth last quarter compared with 2Q26 was a deterioration in net exports, ie, the foreign trade balance. Net exports added 0.5ppt to annual GDP growth in 2Q26, while we estimate that the contribution turned slightly negative in 3Q26. Private consumption growth probably slowed further as well. With nominal wage growth normalising and inflation rising, household incomes came under pressure. Higher spending on fuel is limiting households' ability to increase consumption elsewhere. Geopolitical uncertainty also remains elevated, resulting in a persistently high propensity to save.

Slower GDP growth, including weaker consumer demand, is an important factor limiting inflationary pressure. This marks a s h w b o r c t

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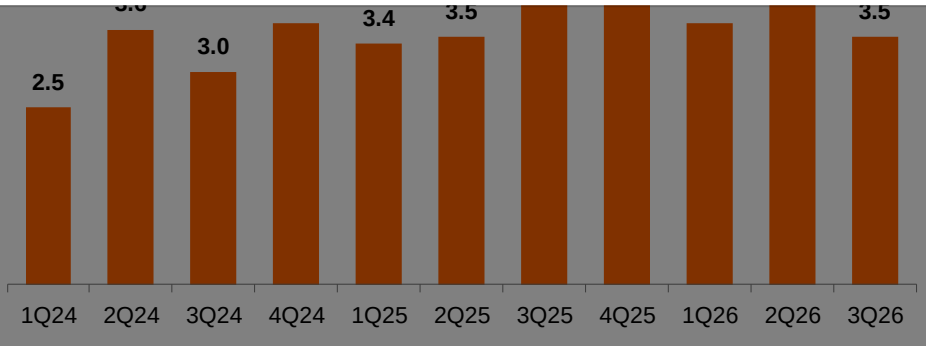
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Source: GUS, ING

October CPI inflation confirmed at 3.5% YoY, with core inflation falling below 3% YoY

According to the final estimate, CPI inflation fell to 3.5% YoY in October from 4.1% YoY in September. This was mainly due to a decline in fuel prices (-9.7% MoM), related to cuts to excise duty and VAT on petrol and diesel. Growth in food and non-alcoholic beverage prices also remained low at 0.4% MoM, although we are approaching the end of the period of annual deflation in this category that began in June this year. The impact of the energy crisis was, however, visible in housing energy prices, which rose by 1.7% MoM, mainly because of higher prices for solid fuels (7.4% MoM, including an 11.2% MoM rise in coal) and liquid fuels (2.9% MoM). Goods prices rose by 2.9% YoY and services prices by 4.9% YoY, compared with 3.6% YoY and 5.3% YoY, respectively, in September.

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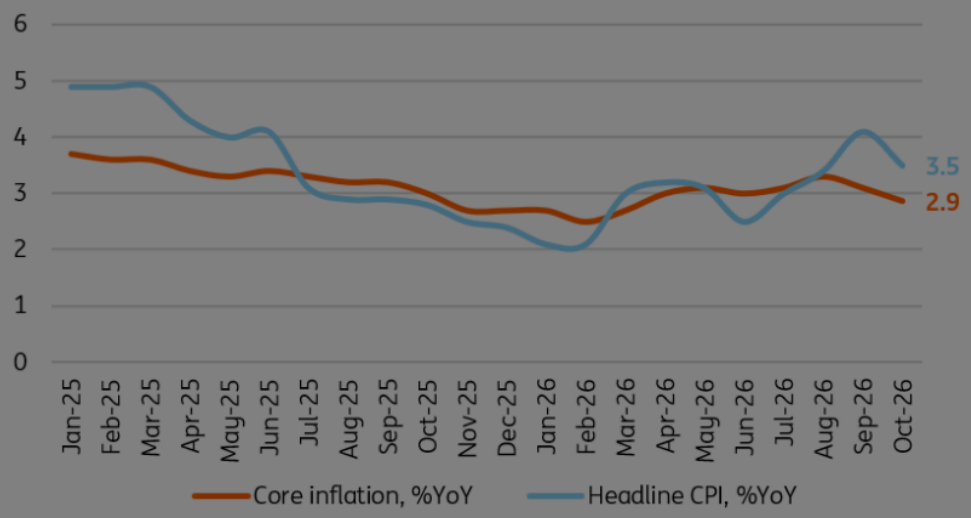
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second-round effects, ie, wage increases in response to inflation, remains low.

Both headline CPI and core inflation down in October

CPI and core inflation, %YoY



Source: GUS, ING.

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The National Bank of Poland's (NBP) November inflation projection points to a high inflation path in 2027, prompting a significant hawkish shift in the Monetary Policy Council (MPC) rhetoric. Recent comments from Council members indicate a willingness to raise interest rates in early 2027. This is consistent with our baseline monetary policy scenario, which assumes a 50bp increase in the cost of money in 1Q27.

The NBP remains more dovish than other central banks in the region and core market policymakers, including the Fed and ECB, and in our view could postpone rate hikes until early 2027. Data on the October CPI composition confirm that there is still no evidence of second-round effects. It's worth noting that monetary policy was a

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NBP rates GDP CPI

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